

Table 5.1

Asset Allocations over the Life Cycle				
Panel A: Vanguard Target Retirement 2050 Fund				
	Stocks	Bonds	Cash	
25 Years before Retirement	90%	10%	0%	
1 Year before Retirement	50%	50%	0%	
In Retirement	30%	65%	5%	
Panel B: Life-Cycle Allocations to Equities				
Age	100—Age Rule	Malkiel (1990)	Shiller (2005)	Federal Thrift
25	75%	70%	85%	85%
35	65%	60%	71%	75%
55	45%	50%	26%	50%

2048 and 2052. These are actually funds-of-funds and change the mix of underlying funds over time. Investors pay fees both on the underlying funds and for the privilege of having their asset allocation automatically adjusted as they age. (These funds can be expensive!) According to Vanguard, an investor with twenty-five years to retirement should hold 90% equities and 10% bonds. This evolves over time until, a year before retirement, the mix is half and half (how the equity and bond mix changes as the individual ages is called the *glide path*). At retirement the investor further cuts equity holdings to 30%.

Panel B of Table 5.1 reports allocation to equities recommended by several sources: from the finance professor Burton Malkiel (1990), the economics professor Robert Shiller (2005), and from the “L Fund” of the federal Thrift Savings Plan, the retirement program for federal employees or members of the uniformed services (this is Uncle Sam’s version of the 401(k), see chapter 1).¹⁶ While the individual equity proportions slightly differ, the overall pattern is that they all hold less equity with increasing age. The most aggressive decline is recommended by Shiller, who recommends moving from 85% equities at age twenty-five to 26% equities at age fifty-five.

3.2. EQUITIES ARE NOT LESS RISKY OVER THE LONG RUN

A common reason given for the one hundred minus your age rule is that stocks are less risky over the long run. This was made popular by adherents of Siegel

¹⁶ These are taken from Social Security, Portfolio Theory, Life-Cycle Investing, and Retirement Income, Social Security Policy Brief 2007-02.